LONG-FORM RESEARCH · EARNINGS

Palantir Q3 2026: The Best Quarter in Its History, and Why the Stock Fell

Palantir reported revenue up 96% to $2.31 billion on 2 November, its fastest growth ever, with US commercial revenue overtaking US government revenue for the first time and full-year guidance raised to 91% growth. The shares fell in after-hours trading. This long-form report covers the quarter segment by segment, the profitability and cash flow, the contract pipeline, the guidance, the valuation debate and what the results say about enterprise demand for AI. It contains no recommendation.

Global Markets Research · Equity Strategy Desk Prepared by ANDRA MARKETS

~$2.3B

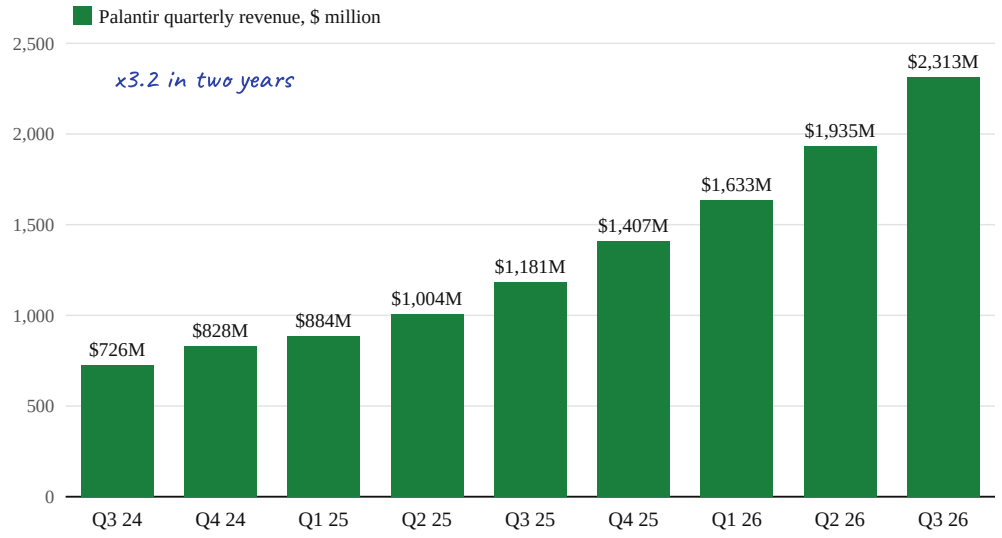
record growth, lower stock

Coverage summary. Third-quarter revenue rose 96% to $2.313 billion, against company guidance of about $2.16 billion, and crossed $2 billion for the first time. US commercial revenue grew 148% to $984 million and for the first time exceeded US government revenue, which grew 96% to $953 million. GAAP operating income passed $1 billion for the first time, at $1.085 billion or a 47% margin; adjusted operating margin was 62%, adjusted free cash flow $1.216 billion and the Rule of 40 score 158%. Palantir raised its 2026 revenue guidance to about $8.53 billion, 91% growth, from 82% three months ago and 61% in February, and guided fourth-quarter revenue to about $2.65 billion. The shares still fell about 3% to 7.5% after hours, to about $165 and a market value near $429 billion, as investors focused on a valuation of roughly 50 times this year's revenue and on total contract value that grew only 6%.

10th straight beat

REVENUE, Q3	US COMMERCIAL	RULE OF 40	FY26 GUIDE
$2.31B	**$984M**	**158%**	**$8.53B**
+96% y/y; +20% q/q	*+148%; > US government*	*62% adj. op. margin*	*+91%; was +82%*

EXHIBIT 1. PALANTIR QUARTERLY REVENUE ($ MILLION)



x3 in two years

Sources: Palantir quarterly earnings releases (8-K), Q3 2024 to Q3 2026.

1.0 Executive Summary

Eight takeaways

1. Record growth. Revenue growth accelerated for a ninth consecutive quarter, to 96% year on year and 20% quarter on quarter, both the highest in the company's history. Revenue beat Palantir's own guidance by about 7%.

2. The crossover. US commercial revenue overtook US government revenue for the first time, $984 million against $953 million, and has more than quintupled in two years. Commercial revenue overall passed $1 billion.

3. Profits at scale. GAAP net income was $1.128 billion, a 49% margin, and GAAP EPS $0.44 matched adjusted EPS, against a $0.41 consensus. Adjusted gross margin was 85%.

4. Guidance raised again. Full-year revenue guidance rose to $8.530-8.534 billion, 91% growth, and US commercial to more than $3.559 billion, at least 143% growth. Adjusted free cash flow guidance rose to $4.8-5.0 billion.

5. The watch point: bookings. Total contract value grew 6% to $2.918 billion and US commercial TCV 11%, far slower than revenue; US commercial remaining deal value grew 79% to $6.5 billion, but only 4% from the previous quarter.

6. Cash flow flattened sequentially. Adjusted free cash flow was $1.216 billion, a 53% margin, almost unchanged from the second quarter while revenue rose 20%. The company holds $10.4 billion of cash and Treasuries and no debt.

7. Valuation dominates the reaction. At about $429 billion, the stock trades near 50 times guided 2026 revenue and close to 90 times guided adjusted free cash flow on our arithmetic; reports cite a forward P/E around 230.

8. Our reading. The quarter confirms the strongest enterprise AI demand signal outside the hyperscalers. The share reaction says the market already priced it, and that slower bookings and flat sequential cash flow are now the lines that matter.

1.5 What Palantir Sells

The business in plain words

Palantir sells software that lets organisations integrate their data and act on it. Gotham, its original platform, serves defence and intelligence agencies; Foundry serves commercial companies; Apollo deploys and updates software across clouds, classified networks and edge devices; and AIP, launched in 2023, connects large language models to a customer's data and operations through Palantir's Ontology, a model of the organisation's objects, processes and decisions. Customers typically start with short 'bootcamps' and expand into multi-year contracts. AIP is what turned Palantir from a government contractor into an enterprise AI platform, and US commercial revenue is the clearest measure of that shift.

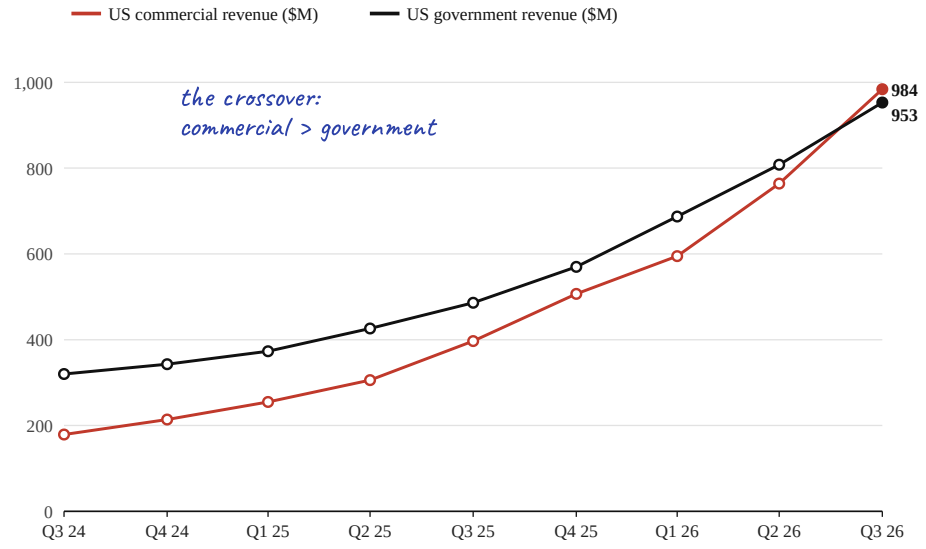
Two years ago US government revenue was almost twice US commercial; this quarter commercial overtook it. Government revenue has nonetheless accelerated too, to 96% growth. International revenue, particularly commercial, has lagged, growing 21%.

2.0 The Quarter in Detail

Segment by segment

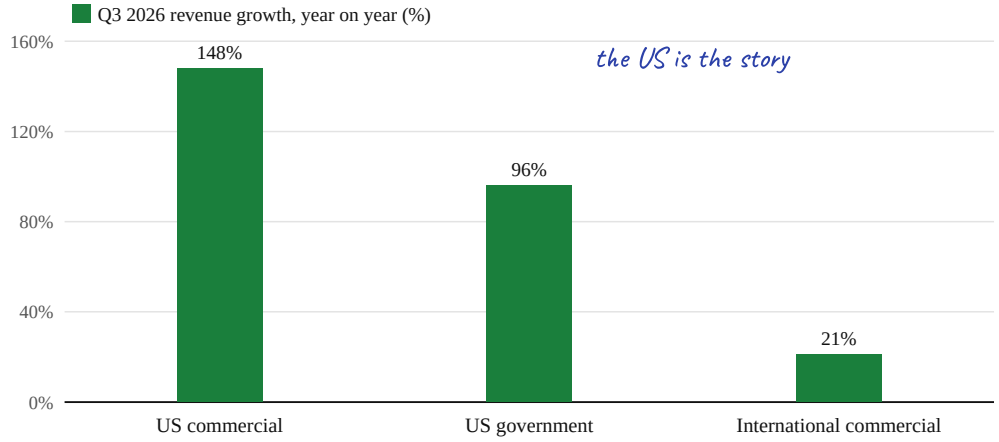
US revenue grew 119% to $1.937 billion, 84% of the total. US commercial revenue grew 148% and 29% sequentially to $984M; US government revenue grew 96% and 18% sequentially to $953 million. International commercial revenue grew a much slower 21% to $184 million. Palantir closed 212 deals worth at least $1 million, 107 worth at least $5 million and 64 worth at least $10 million. Trailing revenue from the top 20 customers rose 76% to $146 million per customer. Chief executive Alex Karp framed the quarter around what he calls the Sovereign AI movement, arguing that institutions are being sorted into those that adopt AI infrastructure and those that fall behind, and told CNBC the business is succeeding without salespeople.

Exhibit 2. US commercial vs US government revenue ($ million)



Sources: Palantir earnings releases; Q2 2026 US government derived from reported growth rates.

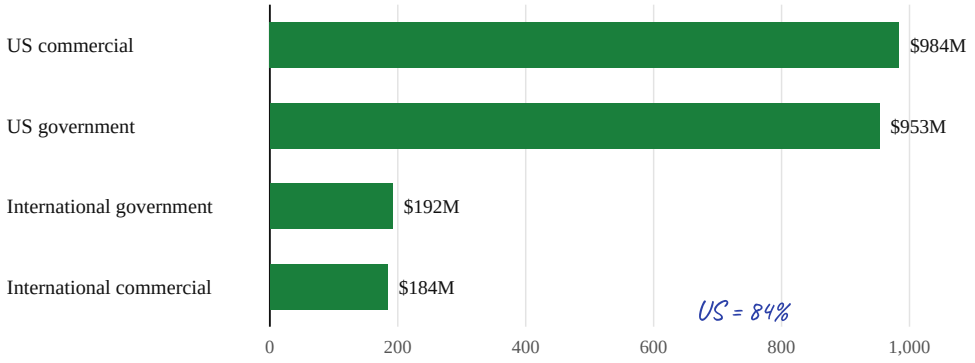
Exhibit 3. Revenue growth by segment, Q3 2026 (% year on year)



the US is the story

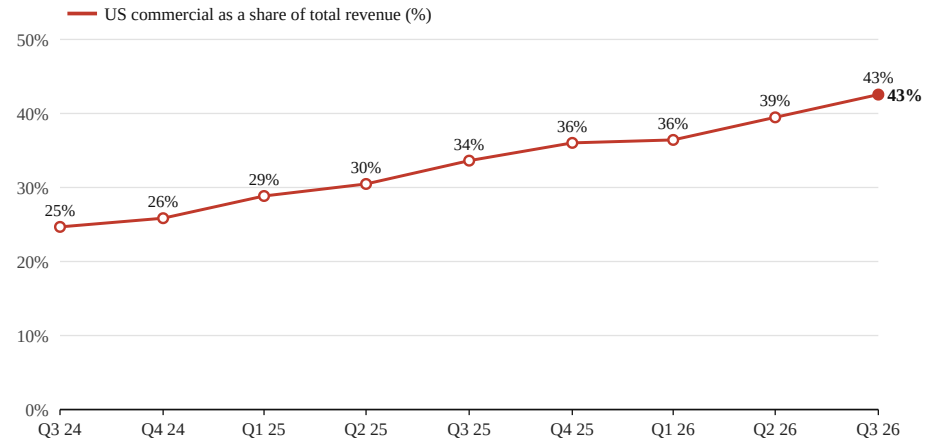
Source: Palantir Q3 2026 earnings release.

Exhibit 4. Q3 2026 revenue by segment ($ million)



Source: Palantir Q3 2026 earnings release; international government derived as the remainder.

Exhibit 5. US commercial as a share of total revenue (%)



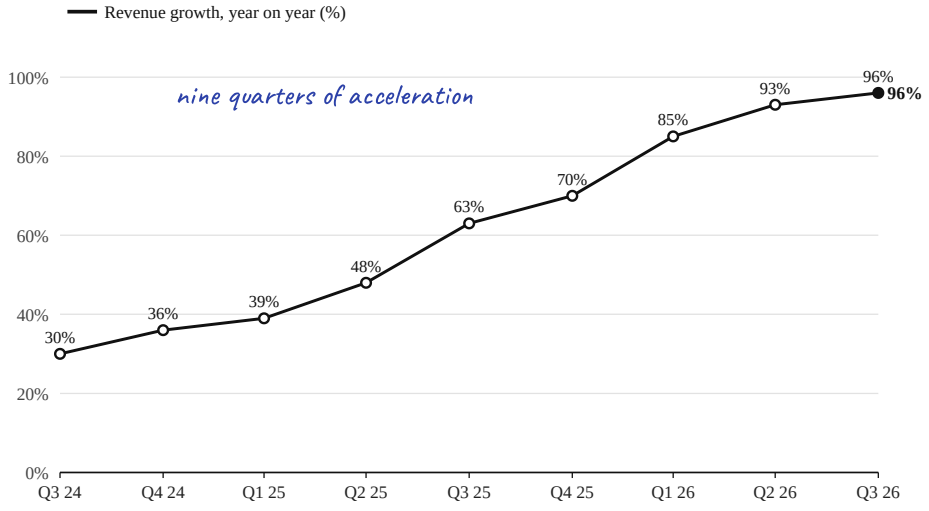
Sources: Palantir earnings releases; Andra Markets calculations.

Exhibit 6. Large deals closed in the quarter (number)



Sources: Palantir earnings releases (Q4 2025, Q3 2026).

Exhibit 7. Revenue growth, year on year (%)



Sources: Palantir earnings releases; Andra Markets calculations for 2024-25 quarters.

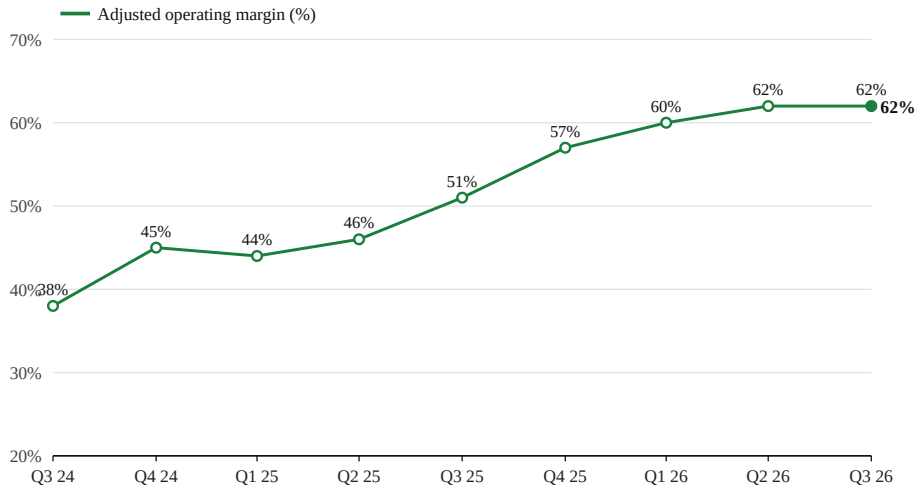
3.0 Profitability

Margins at software-plus levels

Profitability rose with growth. GAAP operating income was $1.085 billion, a 47% margin, up from $393 million and 33% a year earlier; adjusted operating income, which excludes stock-based compensation and related payroll taxes, was $1.427 billion, a 62% margin. Stock-based compensation was $319 million in the quarter. GAAP net income of $1.128 billion was nearly eight times the level of

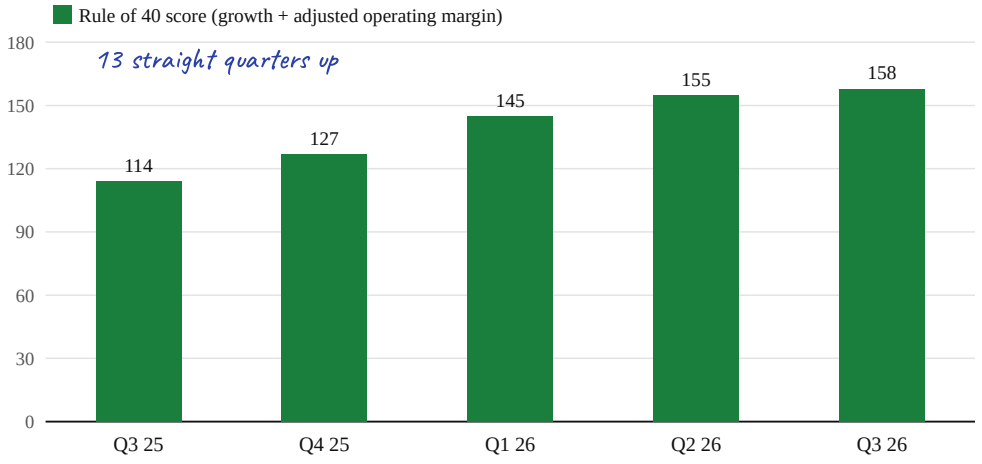
two years earlier. The Rule of 40, revenue growth plus adjusted operating margin, reached 158%, the thirteenth consecutive quarterly increase; Palantir compares itself on that measure with AI hardware companies such as Nvidia, Micron and SK Hynix rather than with software peers.

Exhibit 8. Adjusted operating margin (%)



Sources: Palantir earnings releases.

Exhibit 9. Rule of 40 score



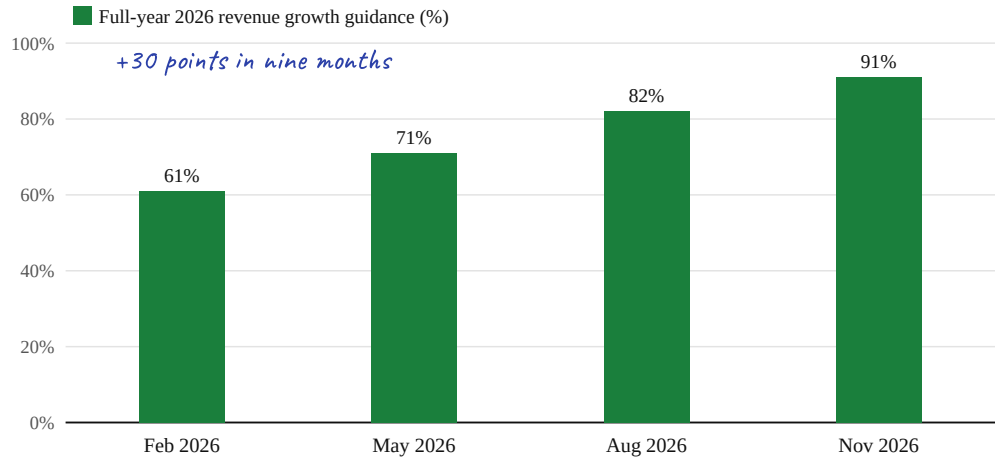
Sources: Palantir earnings releases; Q3 2025 derived (63% growth + 51% margin).

4.0 Guidance

Raised for the third time this year

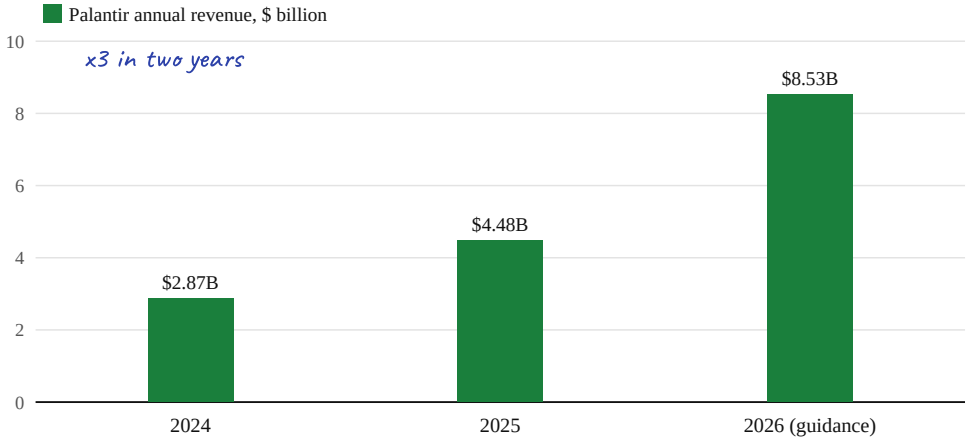
Palantir has raised its full-year revenue growth guidance at every report this year: from 61% in February to 71% in May, 82% in August and 91% now, a total of 30 points. The new range of $8.530-8.534 billion compares with as much as $8.2 billion three months ago. Fourth-quarter revenue guidance of $2.645-2.653 billion implies growth of about 88%, and adjusted operating income guidance of $1.640-1.644 billion implies a margin near 62%. US commercial revenue is now guided above $3.559 billion for the year, at least 143% growth, and adjusted free cash flow at $4.8-5.0 billion. The pattern of conservative guides followed by large beats is now well understood by the market, which is one reason a beat moves the stock less than it used to.

Exhibit 10. Full-year 2026 revenue growth guidance, by report (%)



Sources: Palantir earnings releases (Feb, May, Aug, Nov 2026).

Exhibit 11. Palantir annual revenue ($ billion)



Sources: Palantir annual results (2024, 2025); 2026 guidance midpoint.

5.0 The Pipeline

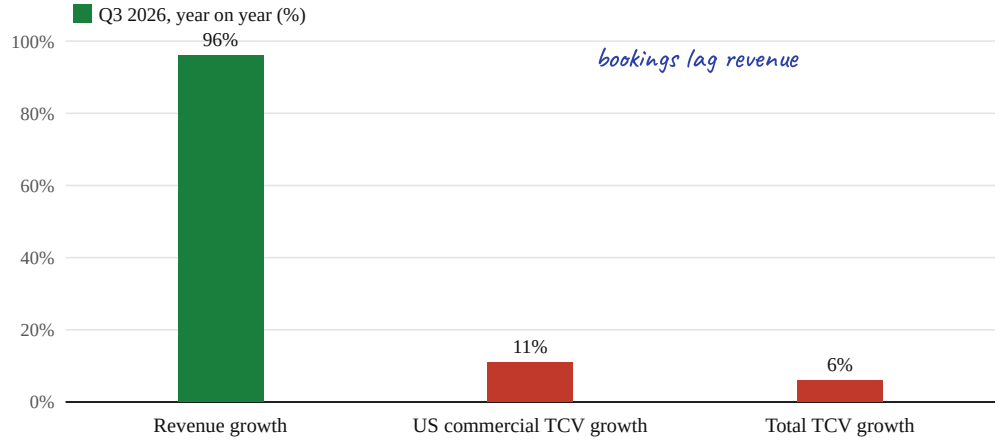
Bookings are the watch point

TCV +6%

The weakest numbers in the release are the forward-looking ones. Total contract value closed in the quarter was $2.918 billion, up only 6%, and US commercial TCV $1.463 billion, up 11%; commercial TCV grew 17% to $1.652 billion. Total remaining deal value was $13.4 billion, and US commercial remaining deal value $6.517 billion, up 79% from a year earlier but only 4% from the second quarter. Bookings are lumpy and Palantir's revenue is increasingly driven by consumption within existing contracts, which net dollar retention of 165%, up eight points, supports. But revenue growing 96% on bookings growing 6% is the gap sceptics point to. The US commercial customer count rose 29% to 686 and total customers 20% to 1,090.

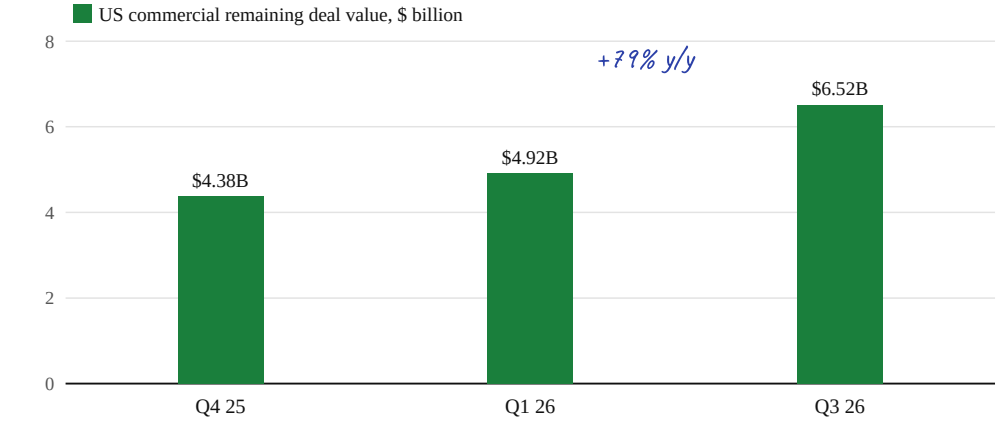
~$2.9B

Exhibit 12. Revenue growth vs bookings growth, Q3 2026 (% year on year)



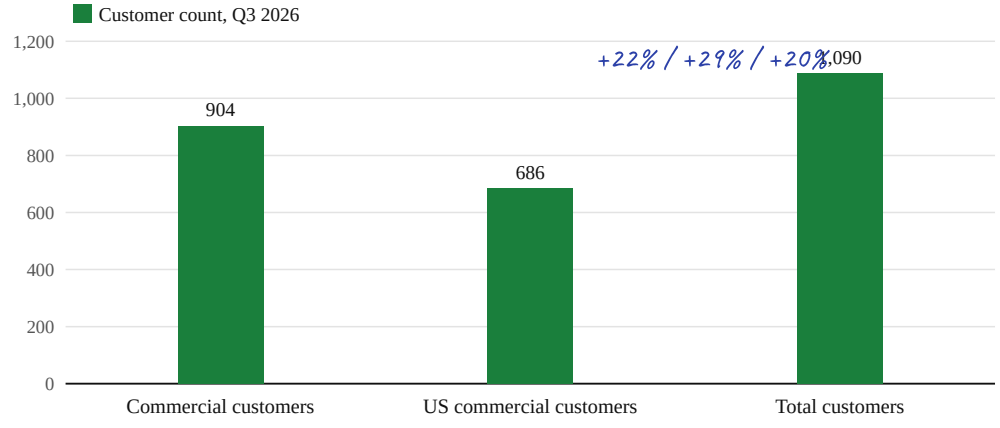
Source: Palantir Q3 2026 earnings release.

Exhibit 13. US commercial remaining deal value ($ billion)



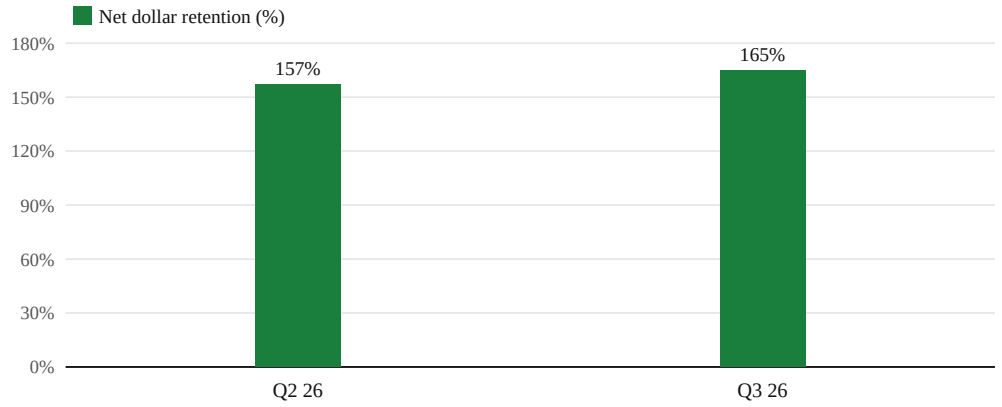
Sources: Palantir earnings releases (Q4 2025, Q1 2026, Q3 2026).

Exhibit 14. Customer count, trailing twelve months, Q3 2026



Sources: Palantir Q3 2026 earnings call and slides via Investing.com and GuruFocus.

Exhibit 15. Net dollar retention (%)



Sources: Palantir earnings calls (Q2 and Q3 2026).

6.0 Cash Flow and Balance Sheet

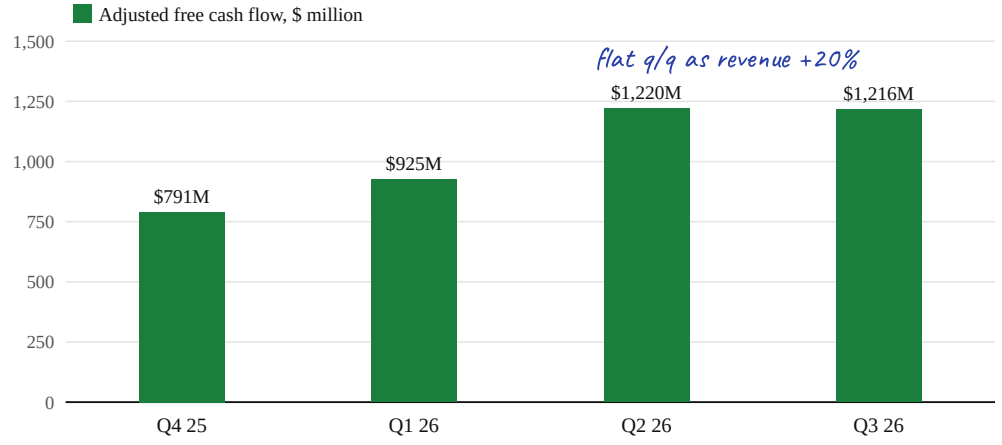
The opposite of the hyperscalers

53% FCF margin

Palantir generated $1.205 billion of operating cash flow and $1.216 billion of adjusted free cash flow in the quarter, margins of 52% and 53%. That is about 125% more than a year earlier but almost unchanged from the second quarter, when the margin was 63%, a point analysts noted after the report. Cash, cash equivalents and US Treasuries reached $10.4 billion with no debt. Palantir is the mirror image of the AI infrastructure builders: it spends little on capital equipment, rents compute from clouds and converts most of its revenue into cash, while the hyperscalers and Anthropic carry the capital cost of the models and data centres it uses.

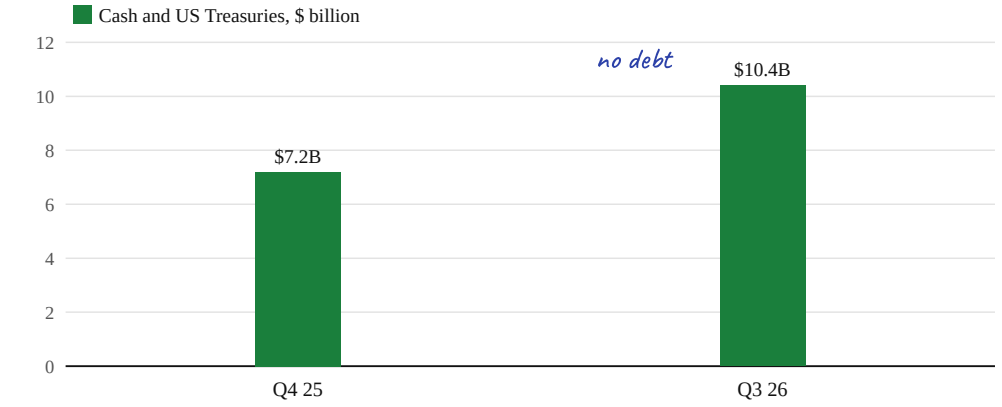
~$1.2B

Exhibit 16. Adjusted free cash flow by quarter ($ million)



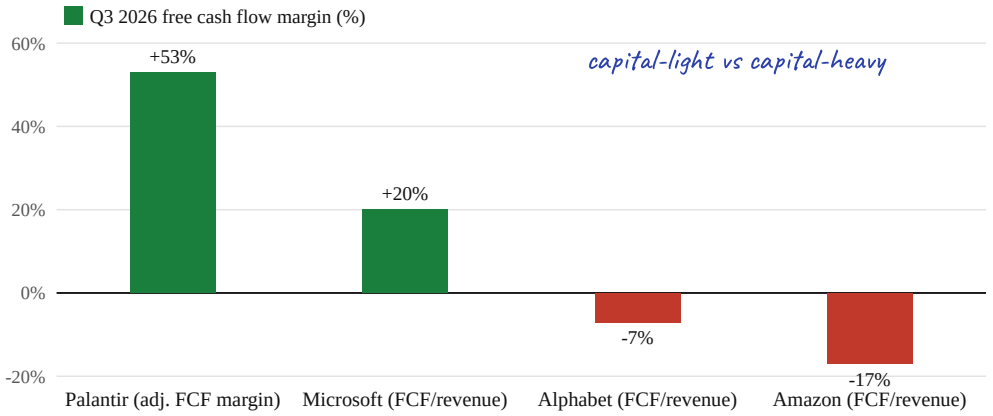
Sources: Palantir earnings releases; Q2 2026 via INDmoney.

Exhibit 17. Cash and US Treasury securities ($ billion)



Sources: Palantir earnings releases.

Exhibit 18. Free cash flow margin: Palantir vs the hyperscalers, Q3 2026 (%)



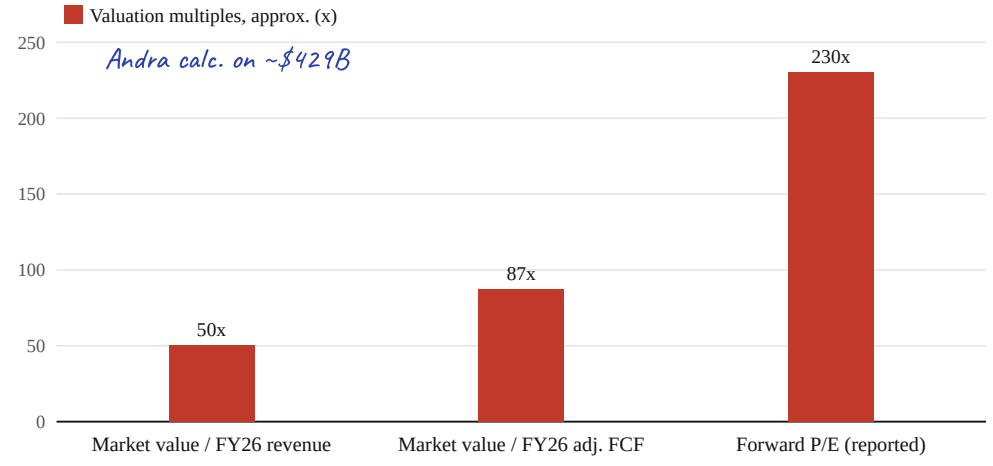
Sources: Palantir Q3 2026; Andra Markets 2026-73 (Microsoft $18.6B FCF on $92.3B revenue; Alphabet −$9.1B on $127.6B; Amazon quarterly −$33.5B on $201.9B). Definitions differ; illustrative.

7.0 Why the Stock Fell

Valuation and expectations

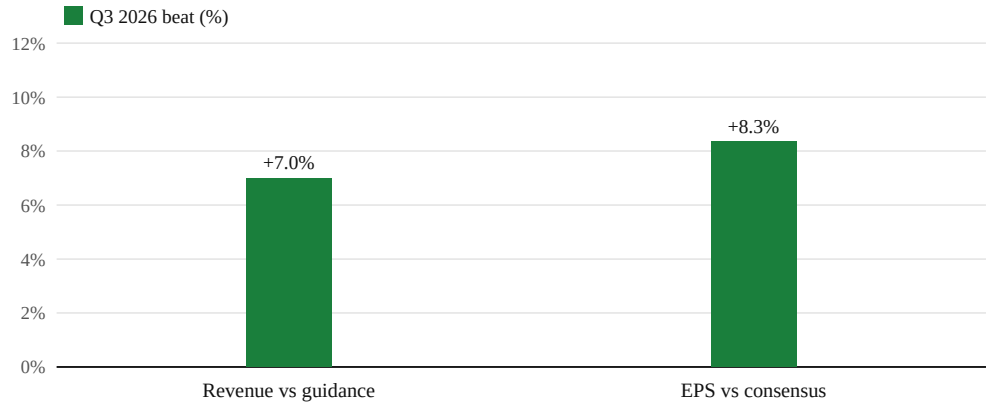
The shares fell about 3% to 7.5% in after-hours trading on 2 November, to about $165, with a market value near $429 billion, according to Sharesify and other reports. The reasons were familiar. On our arithmetic, the market value is about 50x guided 2026 revenue and close to 90 times guided adjusted free cash flow; Startup Fortune cites a forward P/E of about 230. The stock had risen about 60% in the third quarter even as its earnings multiple fell by half, as profits grew faster than the price. Bookings growth of 6% and flat sequential free cash flow gave sceptics specific numbers. The broader backdrop mattered too: the Nasdaq had its worst day since June on 30 October, US PCE inflation is 3.6% and the Fed is likely to raise rates in December, which weighs on long-duration growth stocks.

Exhibit 19. Valuation multiples, approximate (x)



Sources: Andra Markets calculations on a ~$428.6B market value (Sharesify, 3 Nov 2026) and company 2026 guidance midpoints; forward P/E as reported by Startup Fortune. Illustrative.

Exhibit 20. Size of the Q3 beat (%)



Sources: Palantir guidance ($2.162B midpoint) and consensus EPS ($0.4061) via Fortune and Startup Fortune.

8.0 What the Quarter Says About AI

Enterprise demand outside the clouds

AI demand, software side

Palantir's numbers are one of the clearest signals of enterprise AI demand at the application layer. Its AIP platform, which connects large language models to a company's data and workflows through its Ontology, is what Karp credits for the acceleration, and the prospectus of Anthropic, filed a week earlier, shows similar momentum in enterprise use of models. Together they support the demand case for the AI build-out examined in Andra Markets 2026-73. The difference is in capital intensity: Palantir earns a 53% free-cash-flow margin, while the model developers and cloud providers carry hundreds of billions of compute commitments. For investors, the AI value chain is splitting between capital-light winners and capital-heavy builders, and the market is currently paying a premium for the former.

~53%

9.0 Risks and What to Watch

The next twelve months

Exhibit A. Key risks

Risk	Why it matters	Signal
Valuation	~50x revenue leaves little room for disappointment	multiple vs growth; reaction to beats
Bookings slowdown	TCV +6% vs revenue +96%	TCV and RDV growth next quarter
Government budgets	US government ~41% of revenue	defence budget, procurement cycles
International weakness	international commercial +21%	Europe and Asia deal flow
Competition	model providers moving into applications	AIP pricing; win rates
Stock-based compensation	$319M in Q3	dilution vs buybacks

Sources: Palantir Q3 2026 results; Andra Markets selection.

Exhibit B. Scenarios to the next reports

Scenario	What happens	Likely read
Acceleration continues	growth stays near 90%; bookings re-accelerate	valuation debate eases
Growth normalises	growth slows towards 60-70% in 2027; margins hold	multiple compresses even as profits rise
Demand air pocket	enterprise AI budgets pause; government delays	sharp de-rating

Andra Markets scenarios; no probabilities assigned. Not a recommendation on any security.

Exhibit C. Q3 2026 in numbers

Metric	Q3 2026	Change
Revenue	$2.313B	+96% y/y; +20% q/q
US revenue	$1.937B	+119%
US commercial	$984M	+148%; +29% q/q
US government	$953M	+96%
International commercial	$184M	+21%
GAAP operating income	$1.085B (47%)	from $393M (33%)
Adjusted operating income	$1.427B (62%)	from $601M (51%)
GAAP net income	$1.128B (49%)	~8x two years ago
EPS (GAAP = adjusted)	$0.44	vs $0.41 consensus
Adjusted free cash flow	$1.216B (53%)	+125% y/y
TCV	$2.918B	+6%
US commercial RDV	$6.517B	+79%
Net dollar retention	165%	+8 pts q/q
Cash and Treasuries	$10.4B	no debt
FY26 revenue guide	$8.530-8.534B	+91%

Source: Palantir Q3 2026 earnings release and call.

10.0 Investor FAQ

Short answers

~6%

Why did the stock fall on a record quarter? Because the valuation already assumed exceptional results. At roughly 50 times guided revenue, a beat-and-raise is expected; investors focused instead on 6% bookings growth and flat sequential free cash flow.

Q1

Q2

Is growth sustainable? Revenue growth has accelerated for nine quarters and guidance implies about 88% in the fourth quarter. Remaining deal value of $13.4 billion and net dollar retention of 165% support near-term growth; bookings will show whether 2027 can sustain it.

~88%

~47%

How profitable is it? Very: a 47% GAAP operating margin, 62% adjusted, and a 53% free-cash-flow margin, with $10.4 billion of cash and no debt. Stock-based compensation of $319 million a quarter is the main gap between adjusted and GAAP profit.

Q3

Q4

How exposed is it to government? US government is about 41% of revenue. Defence and federal demand are strong, but budgets, procurement cycles and politics, including the outcome of today's midterm elections, can affect timing.

~41%

~$33B

How does it compare with Anthropic? Anthropic's revenue is larger, about $33 billion in nine months, and growing much faster, but it carries nearly $900 billion of compute commitments. Palantir is far smaller but converts more than half its revenue into cash. These answers describe the companies and are not recommendations.

Q5

Exhibit D. Glossary

Term	Meaning
TCV	total contract value of deals closed in the period
RDV	remaining deal value: contracted value not yet recognised as revenue
Net dollar retention	revenue from existing customers vs a year ago
Rule of 40	revenue growth plus adjusted operating margin; above 40 is considered strong
Adjusted operating margin	operating margin excluding stock-based compensation and related taxes
AIP	Palantir's Artificial Intelligence Platform
Ontology	Palantir's data model linking an organisation's objects, processes and decisions

reading: the best quarter in Palantir's history met a stock already priced for it. bookings and sequential cash flow are now the lines to watch

Methodology and Source Notes

Method. This report uses Palantir's Q3 2026 earnings release, business update and call transcript, earlier quarterly releases and press reports on the share price reaction, as available on 3 November 2026. Valuation multiples are illustrative Andra Markets calculations. Some 2024-25 figures are compiled from prior releases. This is not a recommendation to buy, sell or hold any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Palantir 8-K releases (Feb, May, Aug, Nov 2026) and Q3 2026 business update; Motley Fool and Benzinga transcripts; CNBC; Fortune; Investing.com; GuruFocus; 24/7 Wall St.; Startup Fortune; Sharesify; INDmoney; Yahoo Finance; Andra Markets 2026-73 and 2026-86.

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